



Chapter 1

Introduction to Management and Organizations



LEARNING OUTLINE

Follow this Learning Outline as you read and study this chapter.

- Who Are Managers?
 - Explain how managers differ from nonmanagerial employees
 - Discuss how to classify managers in organizations.
- What Is Management?
 - Define management
 - Explain why efficiency and effectiveness are important to management



LEARNING OUTLINE (cont'd)

Follow this Learning Outline as you read and study this chapter.

- What Do Managers Do?
 - Describe the four functions of management.
 - Explain Mintzberg's managerial roles.
 - Describe Katz's three essential managerial skills and how the importance of these skills changes depending on managerial level.



LEARNING OUTLINE (cont'd)

Follow this Learning Outline as you read and study this chapter.

- What Is an Organization?
 - Describe the characteristics of an organization.
 - Explain how the concept of an organization is changing.
- What Are the Challenges to Managing?
 - Describe the current trends and issues facing managers.
 - Explain why customer service and innovation are important to the manager's job.



LEARNING OUTLINE (cont'd)

Follow this Learning Outline as you read and study this chapter.

- Why Study Management?
 - Explain the universality of management concept.
 - Discuss why an understanding of management is important even if you don't plan to be a manager.



Why Are Managers Important?

- organizations need their managerial skills and abilities more than ever in these uncertain, complex, and chaotic times.
- Managerial skills and ability is critical to getting things done.
- the quality of the employees/supervisor relationship is the most important variable in productivity and loyalty.

Who Are Managers?

- Manager
 - Someone who works with and through other people by coordinating their work activities in order to accomplish organizational goals

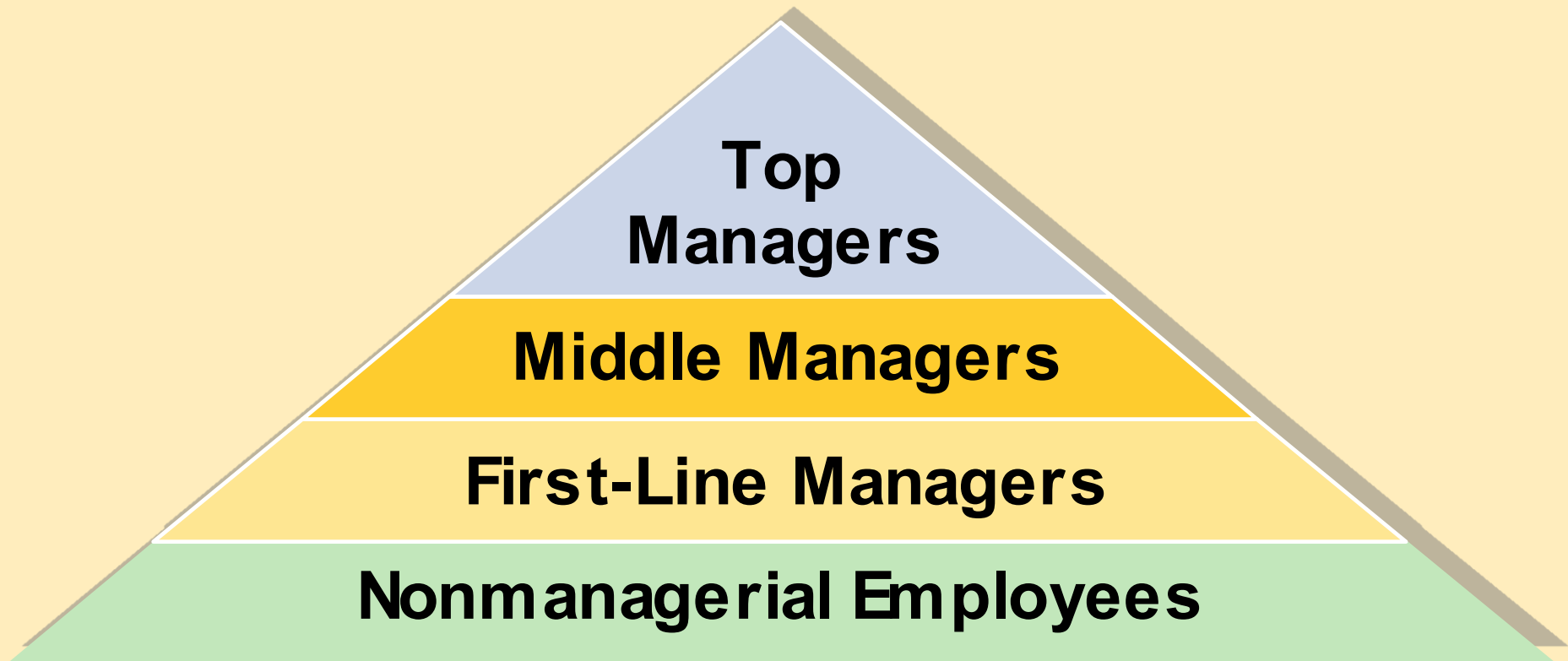




Types of Managers

- First-line Managers
 - Are at the lowest level of management and manage the work of nonmanagerial employees
- Middle Managers
 - Manage the work of first-line managers
- Top Managers
 - Are responsible for making organization-wide decisions and establishing plans and goals that affect the entire organization

Exhibit 1.1 Levels of Management



What Is Management?

- Managerial Concerns
 - Efficiency
 - “Doing things right”
 - Getting the most output for the least input
 - Effectiveness
 - “Doing the right things”
 - Attaining organizational goals





Exhibit 1.3 Efficiency and Effectiveness in Management

Efficiency (Means)

**Resource
Usage**

Low Waste



Effectiveness (Ends)

**Goal
Attainment**

High Attainment



**Management Strives for:
Low Resource Waste (high efficiency)
High Goal Attainment (high effectiveness)**



What Do Managers Do?

- Functional Approach

- Planning

- Defining goals, establishing strategies to achieve goals, developing plans to integrate and coordinate activities

- Organizing

- Arranging work to accomplish organizational goals

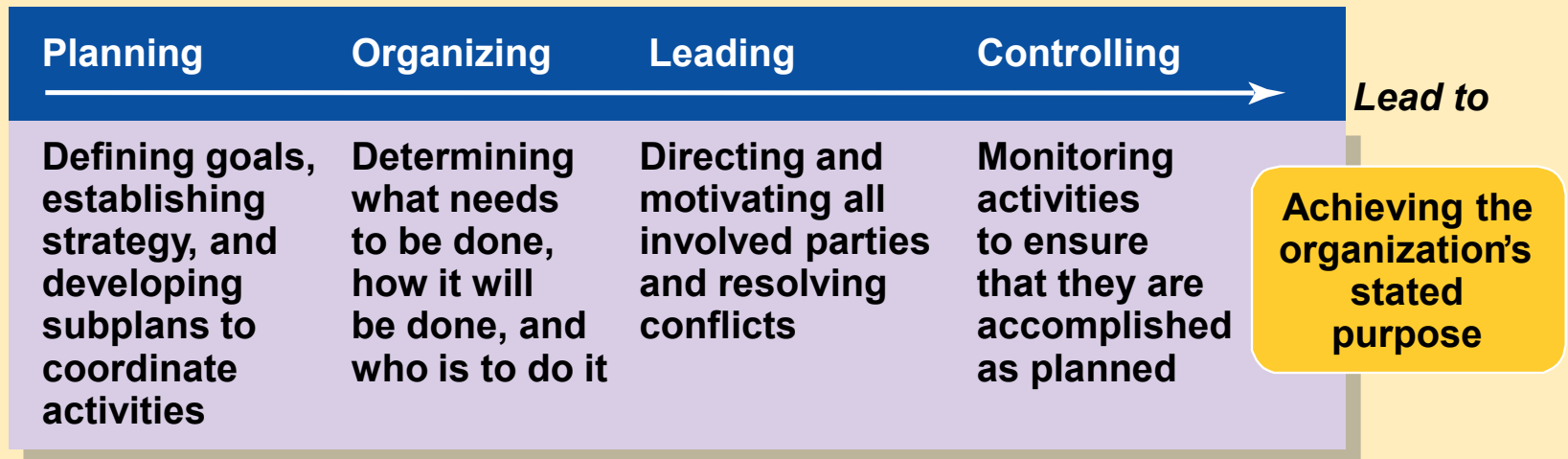
- Leading

- Working with and through people to accomplish goals

- Controlling

- Monitoring, comparing, and correcting the work

Exhibit 1.4 Management Functions



What Do Managers Do? (cont'd)

- Mintzberg's Management Roles Approach (Exhibit 1.5)
 - Interpersonal roles
 - Figurehead, leader, liaison
 - Informational roles
 - Monitor, disseminator, spokesperson
 - Decisional roles
 - Entrepreneur, disturbance handler, resource allocator, negotiator





Mintzberg's Management Roles

Category	Role	Activity	Examples
Interpersonal	Figurehead	Perform social and legal duties, act as symbolic leader	Greet visitors, sign legal documents, attend ribbon cutting ceremonies, host receptions, etc.
	<i>Leader</i>	Direct and motivate subordinates, select and train employees	Includes almost all interactions with subordinates
	<i>Liaison</i>	Establish and maintain contacts within and outside the organization	Business correspondence, participation in meetings with representatives of other divisions or organizations.

Mintzberg's Management Roles

Category	Role	Activity	Examples
Informational	<i>Monitor</i>	Seek and acquire work-related information	Scan/read trade press, periodicals, reports; attend seminars and training; maintain personal contacts
	<i>Disseminator</i>	Communicate/ disseminate information to others within the organization	Send memos and reports; inform staffers and subordinates of decisions
	<i>Spokesperson</i>	Communicate/ transmit information to	Pass on memos, reports and informational materials; participate in

Mintzberg's Management Roles

Category	Role	Activity	Examples
Decisional	Entrepreneur	Identify new ideas and initiate improvement projects.	Implement innovation. Plan for the future.
	<i>Disturbance Handler</i>	Deals with disputes or problems and takes corrective action	Settle conflicts between subordinates; Choose strategic alternatives; Overcome crisis situations
	<i>Resource Allocator</i>	Decide where to apply resources	Draft and approve of plans, schedules, budgets; Set priorities
	<i>Negotiator</i>	Defends business interests	Participates in and directs negotiations within team, department, and



What Do Managers Do? (cont'd)

- Skills Approach
 - Technical skills
 - Knowledge and proficiency in a specific field
 - Human skills
 - The ability to work well with other people
 - Conceptual skills
 - The ability to think and conceptualize about abstract and complex situations concerning the organization

Exhibit 1.6 Skills Needed at Different Management Levels

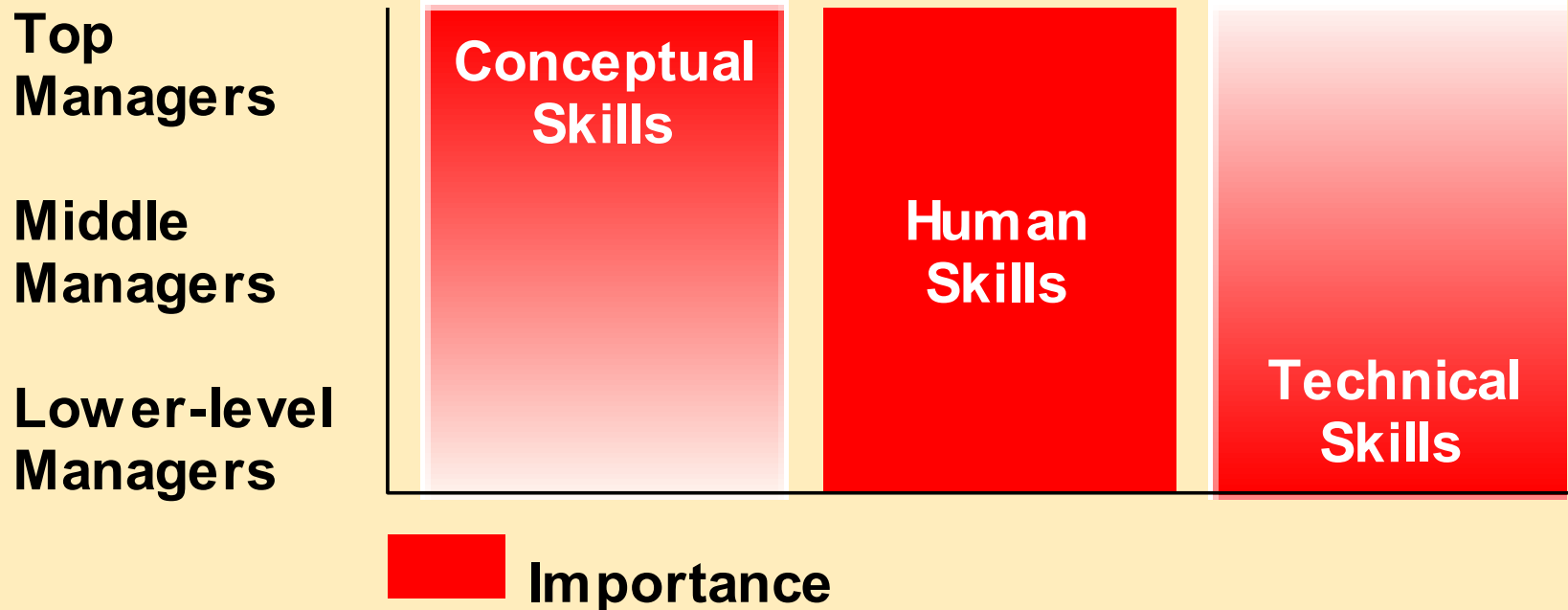




EXHIBIT 1-7 Important Managerial Skills

- Managing human capital
- Inspiring commitment
- Managing change
- Structuring work and getting things done
- Facilitating the psychological and social contexts of work
- Using purposeful networking
- Managing decision-making processes
- Managing strategy and innovation
- Managing logistics and technology



What Is An Organization?

- An Organization Defined
 - A deliberate arrangement of people to accomplish some specific purpose
- Common Characteristics of Organizations
 - Have a distinct purpose (goal)
 - Are composed of people
 - Have a deliberate structure



Sizes and Types of Organizations

- Managers and employees work in a variety of sizes of organizations
 - Large organizations represent only 3% of the organizations in Canada
- Managers and employees work in a variety of organizations, and the type of organization has an impact on what managers can do
 - Publicly held organizations
 - Privately held organizations
 - Public sector organizations
 - Crown Corporations
 - Subsidiaries of foreign organizations (e.g., Sears, Safeway, General Motors, and Ford Motor Company)

Exhibit 1.7 Characteristics of Organizations

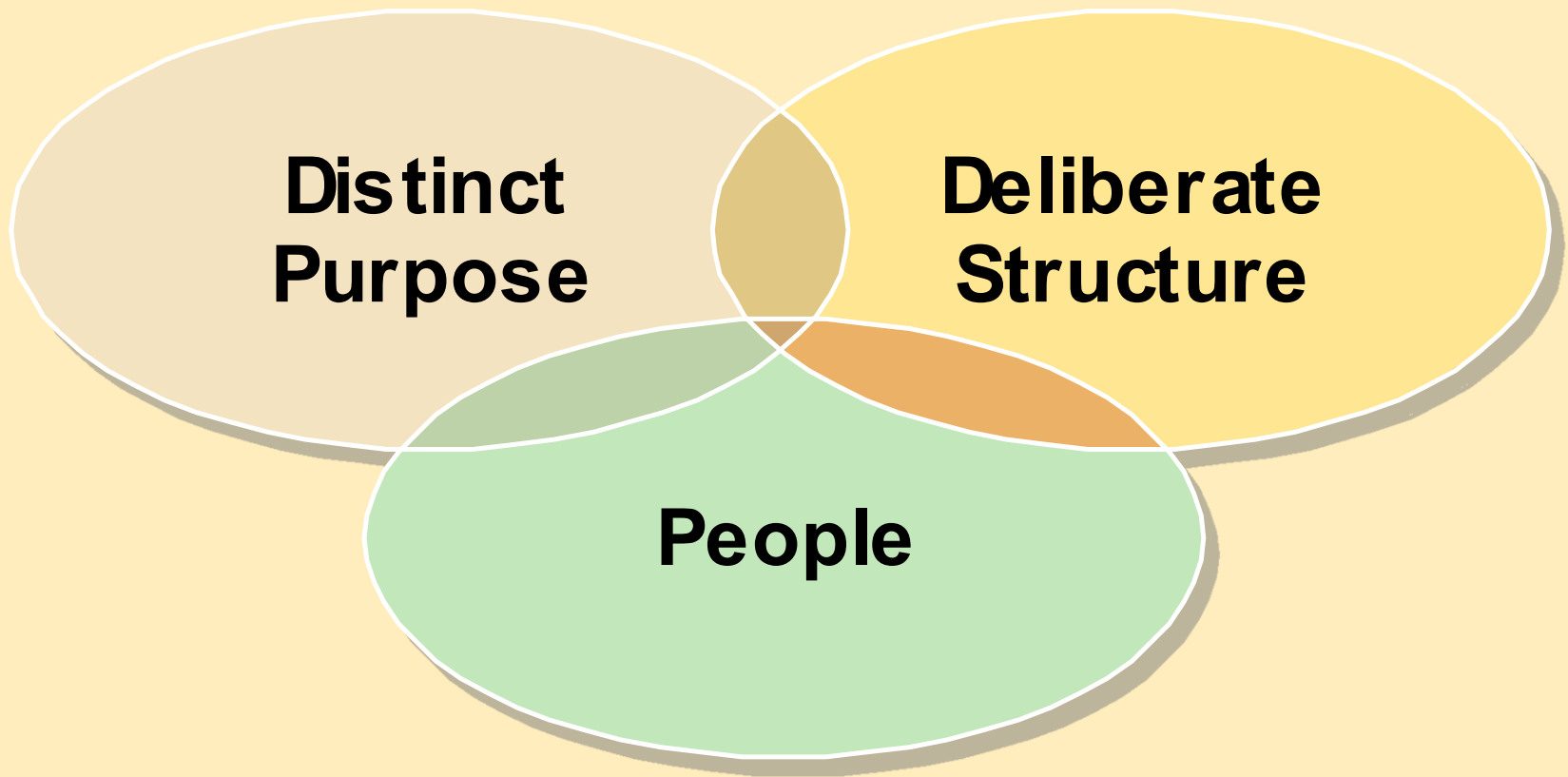


EXHIBIT 1-8 Changes Facing Managers

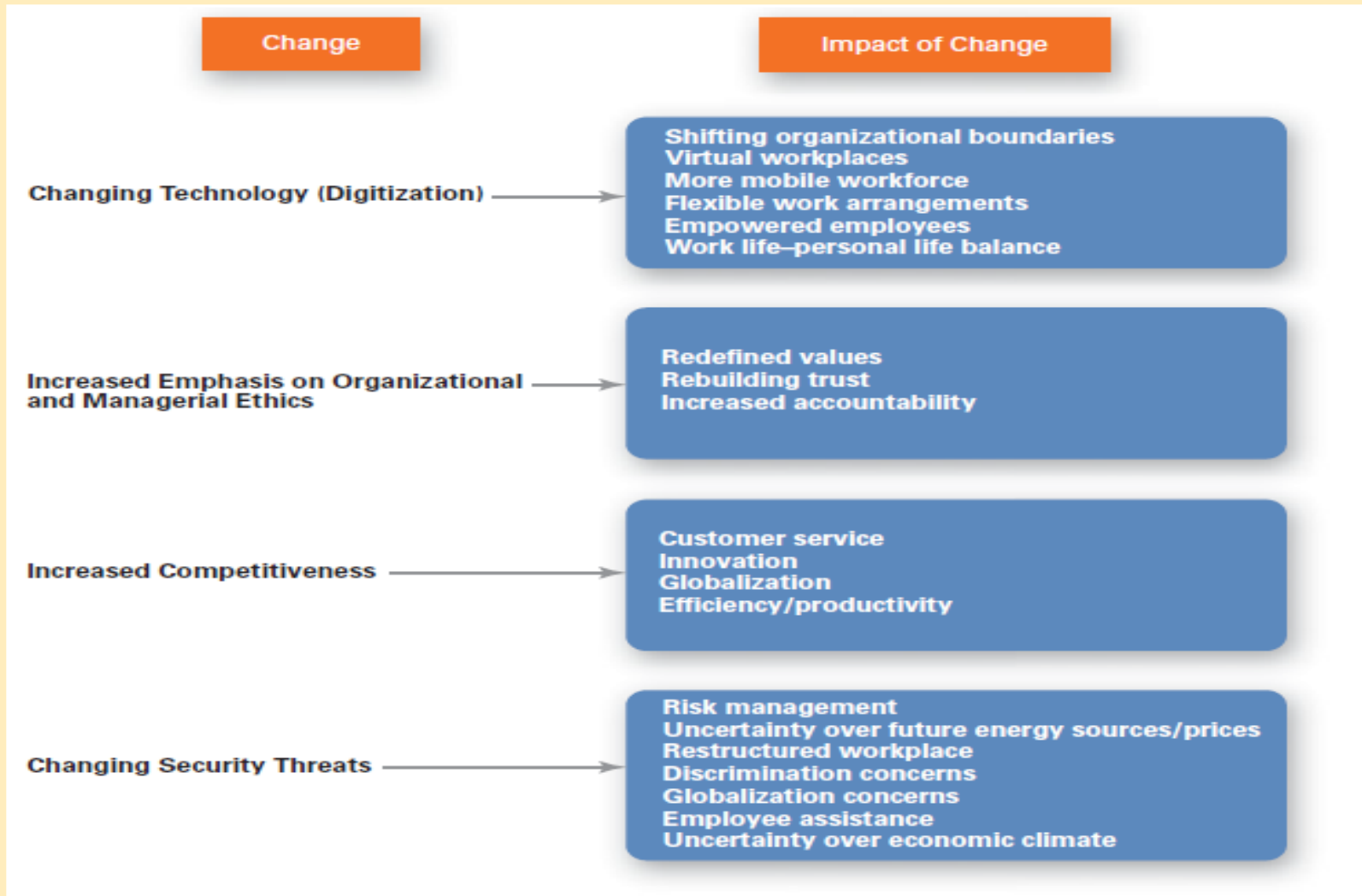
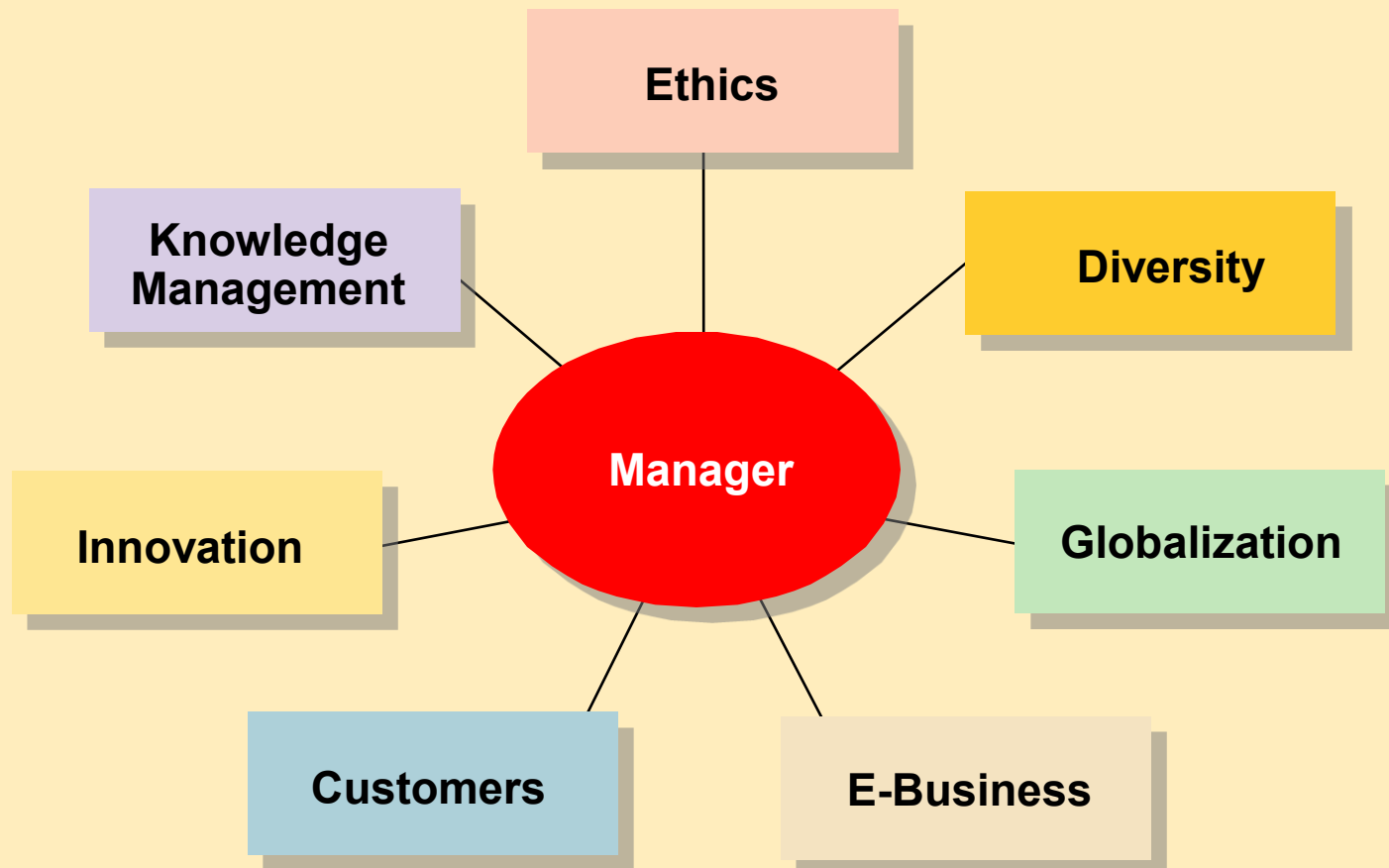


Exhibit 1.9 Challenges Impacting the Manager's Job





Challenges Impacting the Manager's Job

- Ethics
 - Increased emphasis on ethics education in university and college curriculums
 - Increased creation and use of codes of ethics by businesses
- Workforce Diversity
 - Increasing heterogeneity in the workforce
 - More gender, minority, ethnic, and other forms of diversity in employees



Challenges to Managing (cont'd)

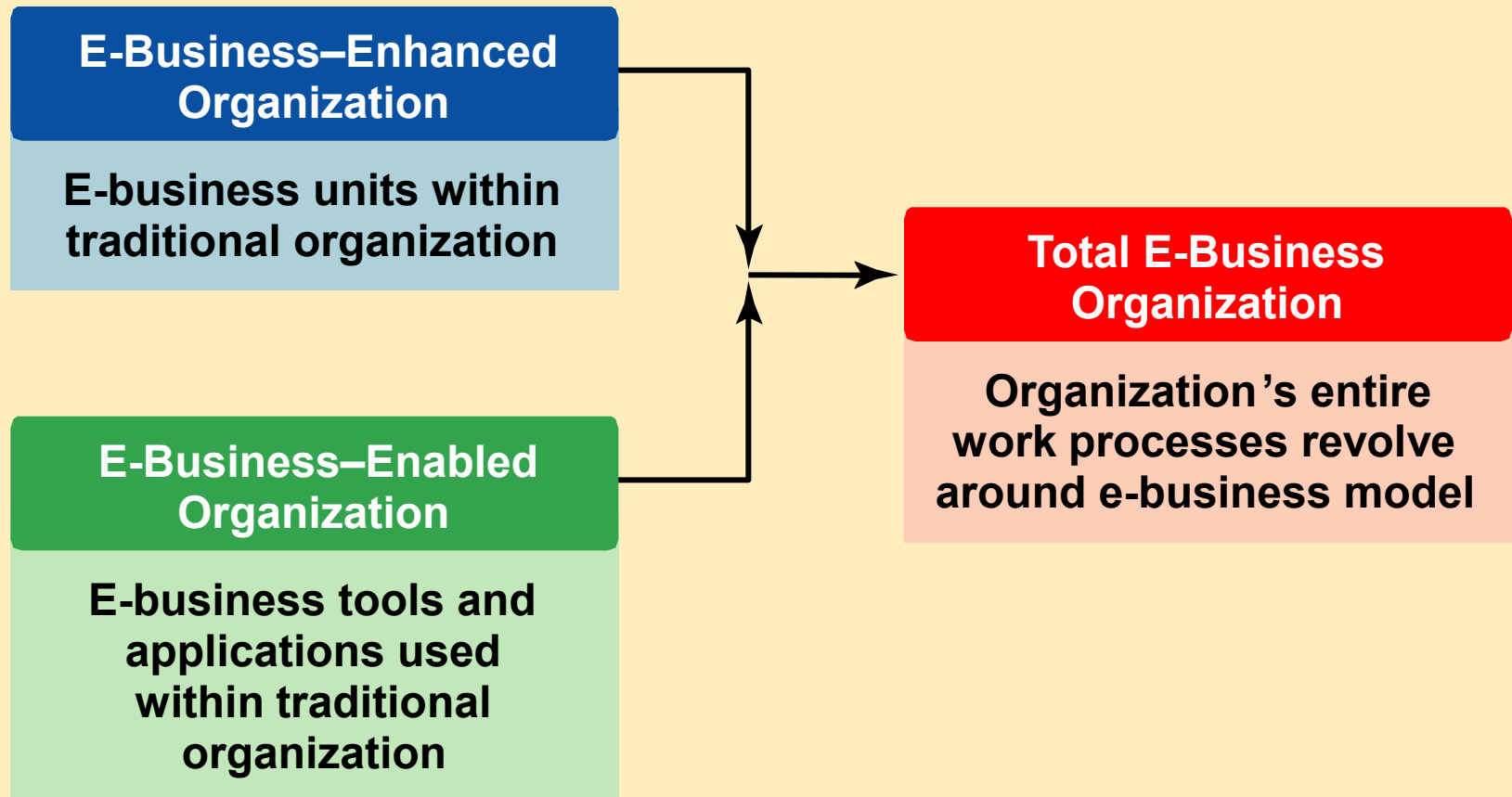
- Globalization
 - Management in international organizations
 - Political and cultural challenges of operating in a global market



Challenges to Managing (cont'd)

- E-business (electronic business)
 - The work performed by an organization using electronic linkages to its key constituencies
 - E-commerce: the sales and marketing component of an e-business
- Categories of E-businesses
 - E-business–enhanced organization
 - E-business–enabled organization
 - Total e-business organization

Exhibit 1.10 Categories of E-Business Involvement





Challenges to Managing (cont'd)

- Importance of Customers
 - Customers have more opportunities than ever before
 - Delivering consistent high-quality service is essential
 - Managers need to create customer-responsive organizations



Challenges to Managing (cont'd)

- Innovation
 - Doing things differently, exploring new territory, and taking risks
 - Managers need to encourage all employees to be innovative



Challenges to Managing (cont'd)

- Knowledge Management
 - The cultivation of a learning culture where organizational members systematically gather and share knowledge with others in order to achieve better performance
- Learning Organization
 - An organization that has developed the capacity to continuously learn, adapt, and change



Exhibit 1.11 Learning Organization Vs. Traditional Organization

	Traditional Organization	Learning Organization
Attitude toward change	If it's working, don't change it.	If you aren't changing, it won't be working for long.
Attitude toward new ideas	If it wasn't invented here, reject it.	If it was invented or reinvented here, reject it.
Who's responsible for innovation?	Traditional areas such as R & D	Everyone in organization
Main fear	Making mistakes	Not learning; not adapting
Competitive advantage	Products and service	Ability to learn, knowledge and expertise
Manager's job	Control others	Enable others



Why Study Management?

- The Value of Studying Management
 - The universality of management
 - Good management is needed in all organizations
 - The reality of work
 - Employees either manage or are managed
 - Entrepreneurship
 - The organized effort to pursue opportunities to create value and grow through innovation and uniqueness

Exhibit 1.9 Universal Need for Management





EXHIBIT 1-10 Rewards and Challenges of Being a Manager

Rewards	Challenges
• Create a work environment in which organizational members can work to the best of their ability • Have opportunities to think creatively and use imagination • Help others find meaning and fulfillment in work • Support, coach and nurture others	• Do hard work • May have duties that are more clerical than managerial • Have to deal with a variety of personalities • Often have to make do with limited resources



EXHIBIT 1-10 Rewards and Challenges of Being a Manager

Rewards	Challenges
• Work with a variety of people • Receive recognition and status in organization and community • Play a role in influencing organizational outcomes • Receive appropriate compensation in the form of salaries, houses and stock options • Good managers are needed by organizations	• Motivates workers in chaotic and uncertain situations • Blend knowledge, skills ambitions and experience of diverse work group • Success depends on others' work performance



THANKS